

Lots at STAKE

Faced with a huge deficit, the UPA charts a roadmap for disinvestment of PSUs and gets ready for a political battle

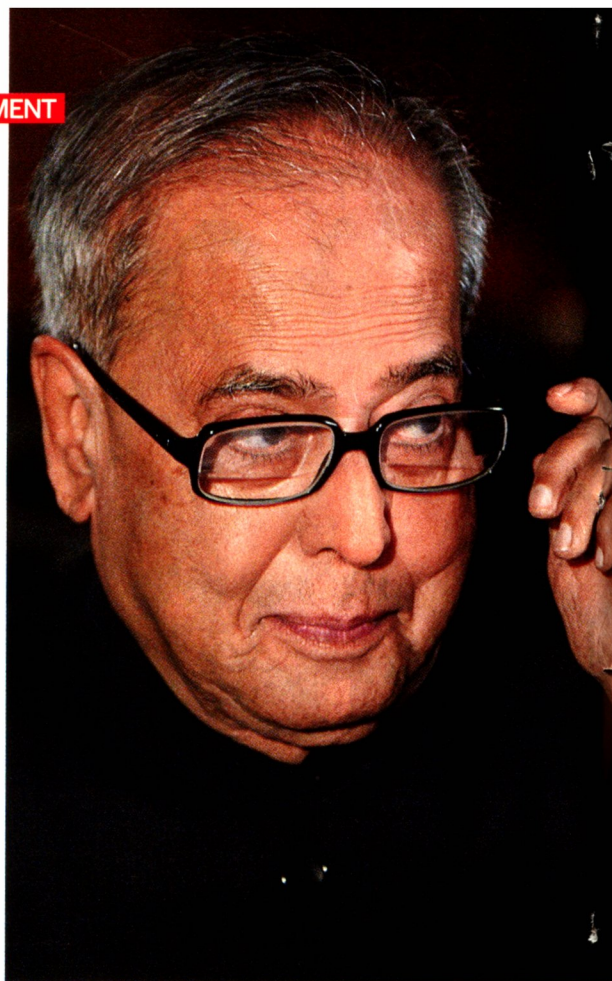
By Nivedita Mukherjee

Chances are that you have never heard of Neelachal Ispat Nigam, or even Garden Reach Shipbuilders & Engineers. No, none of them have made overseas acquisitions or made it to the Fortune 500 list. They are but two of the stars in a list of Central public sector undertakings (CPSUs) in which a proposed partial sale of shares can turn the UPA's fortunes. After much dilly-dallying, the Government has cherry-picked 50 CPSUs in which it will cut down its stake as part of an extended programme of disinvestment.

The exit of the Left has clearly emboldened the UPA although it still has to negotiate rights of passage with recalcitrant allies like the Trinamool Congress (TC) and the DMK. The DMK had derailed the disinvestment attempts of P. Chidambaram the last time round. The TC is categorical that there should not be any disinvestment in profit-making PSUs. "Even if that means channelising this money for social welfare. The Government must understand that social security is its concern and that diversion of funds is no solution," says its leader Partha Chatterjee. The DMK, with similar sentiments, feels that in a country where the socialist model is very important, to think of disinvestment is sacrilege.

The Government, nevertheless,

FINANCE
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The Roadmap

The Government has shortlisted 50 PSUs—10 listed and others unlisted—to be disinvested.

The target for disinvestment is Rs 25,000 crore per annum but the Government could raise over Rs 60,000 crore.

Proceeds from the stake sale to be used to reduce fiscal deficit and fund social sector programmes.

seems to be more confident this time—a buoyance that echoes in Finance Minister Pranab Mukherjee's words these days. "We now hope to see faster progress in sale of a portion of government shareholding in the domestic market and issue of fresh equities in respect of the selected companies in the public sector," says Mukherjee. If a resurgent UPA has its way, it could well be looking at an opportunity to fund its development schemes and substantially wipe out a burgeoning fiscal deficit of 6.8 per cent in 2009-10, amounting to Rs 4.5 lakh crore. According to the Economic Survey, the Government needs to raise Rs 25,000 crore per year to deal with the fiscal crunch arising out of hefty spending on flagship programmes. The economic slowdown has also impacted revenue receipts, making disinvestment an attractive option, though not for the